

Pinebrook Advisory Group LLC

www.pinebrookadvisory.com

July 7, 2019

Stephanie Campos
Chief Financial Officer
Johnson and Sons

Dear Ms. Campos:

This letter confirms the terms on which Pinebrook Advisory Group will conduct an operational review for Johnson and Sons. We are glad to take on the work, and we think this is the right moment for it. You and I discussed the goal plainly: a clear, practical read on how the operation runs today and where it can run better. What follows sets out the scope, the team, the fee, and the standard terms that govern our work together. If any of it needs adjusting before we begin, tell me and we will sort it out.

Scope and Approach

The review will look at how work actually gets done across your core operating functions, and it will proceed in four straightforward steps. First, we will map your key processes end to end, as they run in practice rather than as any manual describes them. Second, we will observe the work directly and interview the people who perform it, so that what we document is grounded in evidence and not in impression. Third, we will review the operating data you already produce and reconcile it against what we see on the floor. Fourth, we will analyze where time, cost, or quality is being lost and translate that into a short, prioritized set of recommendations you can act on.

Our aim is a focused result, not a survey of everything that could be improved. We will start with the functions where you and your team feel the most friction and work outward from there. At the close of the engagement you will receive a written findings report and a set of recommendations, and we will walk your leadership through both in a working session so the conclusions are understood and owned before we hand them over. Matters outside day-to-day operations, such as tax, legal, and formal audit, are not part of this review; where we happen to notice something in those areas, we will flag it for you rather than opine on it.

Engagement Team

I will oversee the engagement personally, as I do for all of our work, and I will stay close enough to it to answer for the result. Jennifer Fletcher, one of our senior consultants, will lead the day-to-day and be your steady point of contact for scheduling, questions, and anything that needs a

quick decision. Robert Miller, a principal consultant on our team, will carry the analytical work: the process mapping, the operating data, and the findings that come out of them. The two of them have run this kind of review together before and will draw on the rest of the firm as the work requires. On your side, we understand Stephanie Campos, Chief Financial Officer, will coordinate access to your people and information, which is the single thing that most affects how smoothly a review like this runs.

Fee and Timing

Our fee for this engagement is a fixed professional fee of \$103,000, covering all of the work described above. We expect to begin on July 17, 2019 and to complete the review in approximately three months. The fixed fee is not tied to hours; it covers the engagement as scoped, so you know your cost at the outset and it does not move with the effort we put in. If, as the work proceeds, we and you agree that the scope should change in a way that materially affects the fee, we will put that in writing and settle it with you before doing the additional work.

Fees and Payment

The fixed professional fee of \$103,000 will be invoiced in equal monthly installments over the term of the engagement. Invoices are payable within thirty days of receipt. Reasonable out-of-pocket expenses, if any, will be billed at cost and itemized, and we will clear any expense of consequence with you before incurring it.

Term and Termination

This engagement runs for the term of the review, approximately three months. Either of us may end it earlier on written notice. If that happens, you will owe fees for the work performed through the date of termination, and we will hand over our working materials in usable form.

Your Cooperation

The quality and timeliness of our work depend on ready access to your people, records, and operating data, and on the accuracy of the information you provide. We will rely on that information as given and will not independently audit or verify it. If access is delayed or key information proves unavailable, the schedule and, in some cases, the depth of our conclusions may be affected; we will tell you promptly if we see that beginning to happen.

Confidentiality

We will treat everything we learn about your business as confidential and use it only for this engagement. Our people are bound by the same obligation. In turn, we ask that the analysis and recommendations we prepare for you be kept within your organization, since they are prepared

for your use and your circumstances rather than for general reliance. Either of us may of course disclose what the law or a regulator requires.

Limitation of Liability

Our aggregate liability to Johnson and Sons for any claim arising out of this engagement will be limited to the fees paid to us for the work, and we do not accept liability for indirect or consequential losses. This is not a matter of confidence in the work; it reflects the advisory nature of what we do. The recommendations are ours to make well, but the decisions, and their implementation, remain yours.

Governing Law

This engagement will be governed by the laws of the state in which our firm maintains its principal office, without regard to its conflict-of-laws rules. Any dispute we cannot resolve between us will be handled in the courts of that state.

If these terms are acceptable, please sign below and return one copy to us; keep the other for your files. We are glad to be working with you, and we will be ready to start on the date set out above. Thank you for your confidence in the firm.

Sincerely,

Daniel Jones

Managing Partner

Date: July 7, 2019

Stephanie Campos

Chief Financial Officer, Johnson and Sons

Date: July 7, 2019